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County: los-angeles

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Case Number: 24NNCV00296 Hearing Date: August 7, 2026 Dept: A

TENTATIVE RULING

AUGUST 7, 2026

MOTION TO COMPEL FURTHER DEPOSITION ANSWERS

MOTION FOR ISSUE AND EVIDENCE SANCTIONS

Los
Angeles Superior Court Case # 24NNCV00296

MP: Plaintiff Complete
Merchant Services Inc.

RP: Defendant Signature
Payments, LLC

NOTICE:

The Court is not
requesting oral argument on this matter. The Court is guided by
California Rules of Court, Rule 3.1308(a)(1) whereby notice of intent to appear
is requested. Unless the Court directs argument in the Tentative Ruling,
no argument is required and any party seeking argument should notify all other
parties and the court by 4:00 p.m. on the court day before the hearing of the
party’s intention to appear and argue. The tentative ruling will become
the ruling of the court if no argument is received.

Notice may be given either by email at or by telephone at (818) 260-8412.

ALLEGATIONS:

Complete Merchant Services Inc. (“Plaintiff”) alleges that Signature Payments, LLC (“Defendant”) operates as an Independent Sales Organization (“ISO”) and performs third-party agent services on behalf of sponsoring banks. Plaintiff operated as an independent contractor sales agent for Defendant, referring prospective merchants to Defendant for payment processing services. On February 23, 2023, the parties entered into a three-year Agent Agreement, which included Section 7’s Compensation of Agent term obligating Defendant to pay Plaintiff for all compensation under the schedule.

On February 26, 2023, Plaintiff claims it submitted Digica, Inc. as a merchant and that on July 19, 2023, Defendant advised it would migrate Digica’s account to a new backend service provider. Plaintiff alleges that after the change, Defendant ceased paying residuals to Plaintiff on Digica’s account and refused to pay Plaintiff its portion of residual shares. Plaintiff asserts that Defendant moves merchant processing activity to a new merchant identification number (“MID”) to circumvent bank investigation.

The Second Amended Complaint (“SAC”), filed September 23, 2024, alleges: (1) Breach of Contract; (2) Breach of the Implied Covenant of Good Faith and Fair Dealing; (3) Conversion; (4) Money Had and Received; (5) Violation of Penal Code § 496; and (6) Unfair Competition.

MOTIONS ON CALENDAR:

On July 14, 2026, Plaintiff filed a Motion to Compel Further Deposition Answers and a Motion for Issue and Evidence Sanctions. On July 27 and 28, 2026, Defendant filed opposition papers. On July 31 and August 3, 2026, Plaintiff filed replies.

LEGAL STANDARD:

A.

Motion to Compel
Further Deposition Answers

C.C.P. § 2025.460(e)
states: “If a deponent fails to answer any question or to produce any document, electronically stored information, or tangible thing under the deponent's control that is specified in the deposition notice or a deposition subpoena, the party seeking that answer or production may adjourn the deposition or complete the examination on other matters without waiving the right at a later time to move for an order compelling that answer or production under Section 2025.480.”

C.C.P.
§ 2025.480 states, “If a deponent fails to answer any question or to produce any document,
electronically stored information, or
tangible thing under the deponent's control that is specified in the deposition notice or a deposition subpoena, the party seeking discovery may move the court for an order compelling that answer or production.” (C.C.P. § 2025.480(a).) The motion shall be made no later than 60 days after the completion of the deposition record and shall be accompanied by a meet and confer declaration under section 2016.040. (C.C.P. § 2025.480(b).) “If the court determines that the answer or production sought is subject to discovery, it shall order that the answer be given or the production be made on the resumption of the deposition.” (C.C.P. § 2025.480(i).)

B.
Motion for Issue and
Evidence Sanctions

Under
C.C.P. § 2023.030, the Court may impose
issue sanctions ordering that designated facts be taken as established in the action in accordance with the claim of the party adversely affected by the misuse of the discovery process. (C.C.P. § 2023.030(b).) The Court may impose an evidence sanction by an order prohibiting any party engaging in the misuse of the discovery process from introducing designated matters in evidence. (C.C.P.
§ 2023.030(c).) Any motion for issue or evidentiary sanctions
must be accompanied by a separate statement.
(CRC Rule 3.1345(a)(7).)

Evidence
or issue sanctions may be imposed only after parties violated discovery orders

compelling further responses, except in exceptional circumstances, including where there was sufficiently egregious misconduct regarding a failure to respond to discovery, or a prior discovery order would be futile. (New Albertsons, Inc. v. Sup. Ct. (2008) 168 Cal.App.4th 1403, 1426.) Two prerequisites for the imposition of non-monetary sanctions are: (1) there must be a failure to comply; and (2) the failure must be willful. (Vallbona v. Springer (1996) 43 Cal.App.4th 1525, 1545.) The party requesting sanctions under C.C.P. §§ 2023.030 and 2023.010(g) must establish that the other party has failed to comply or disobeyed a court order to provide discovery. (C.C.P. § 2023.010(g); Miranda v. 21st Century Ins. Co. (2004) 117 Cal.App.4th 913, 929 [first requirement of failure to comply].) To avoid sanctions, the burden of proving that a discovery violation was not willful is on the party on whom the discovery was served. (Cornwall v. Santa Monica Dairy Co. (1977) 66 Cal.App.3d 250, 252- 253.)

RELEVANT BACKGROUND:

On January 24, 2025, the Court granted Plaintiff’s Motions to Compel Defendant’s Further Responses to: (1) Form Interrogatories (“FROG”) Nos. 50.1-50.6; (2) Special Interrogatories (“SROG”) Nos. 1-3; and (3) Requests for Production of Documents (“RPD”) Nos. 1-5 and 16, such that responses were due by February 24, 2025. The motion was denied as to SROG Nos. 8-10 and RPD Nos. 10-12. Defense counsel was ordered to pay $3,180 in sanctions within 30 days.

On May 14, 2026, the Court held an Informal Discovery Conference (“IDC”) and advised it was inclined to issue an order requiring Earl Johnson to be produced to testify at his deposition, but “the subject matter of the deposition would be limited to those matters for which Mr. Johnson was identified as a person with knowledge in Defendant’s discovery responses or verified responses to requests for admission. … The Court further advised that it was not mandating that Mr. Johnson provide answers beyond the subject matters disclosed in Defendant’s discovery responses or answers that would intrude upon attorney-client privilege.” (Dahlberg Decl. re Deposition Motion, Ex. 1 [May 14, 2026 Minute Order at p.1].) The Court ordered the parties to meet and confer prior to any deposition to ensure the scope of permissible subject matter was mutually understood and, if further clarification was needed, the parties could schedule another IDC. The Court advised Defendant to assert objections or seek a protective order for questions exceeding the scope discussed at the IDC and advised Plaintiff to file a motion to compel should it believe responses were improperly withheld.

Finally, the Court advised that a" willful failure to comply with any order may result in evidentiary sanctions; however, any such issue would need to be properly briefed, as circumstances unknown to the Court may bear on the appropriateness of sanctions." (Id. at p.2.)

On June 9, 2026, the Court entered the Stipulation and Order re: Earl Johnson Deposition, setting the deposition for June 11, 2026 pursuant to the terms of the Court's May 14, 2026 Minute Order. (Dahlberg Decl. re Deposition Motion, Ex. 7 [Stipulation and Order].) The parties thereafter met and conferred regarding the scope of deposition topics. (Dahlberg Decl. re Deposition Motion, Exs. 8-9.) On June 11, 2026, Mr. Johnson's deposition was taken. (Dahlberg Decl. re Deposition Motion, Ex. 10.)

On July 1, 2026, the Court held another IDC regarding: (1) Defendant's compliance with the Court's January 24, 2025 order granting Plaintiff's Motion to Compel Further Responses to FROG, SROG, and RPD requests; (2) incomplete answers during Mr. Johnson's deposition concerning lack of knowledge and instructions not to answer, and (3) Plaintiff's counsel's admonition to Mr. Johnson regarding sanctions related to declining to answer questions on advice of counsel.

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With respect to the January 24, 2025 order, the Court advised Defendant's interpretation and subsequent noncompliance were inconsistent with the Court's ruling and advised Plaintiff's counsel the matter cannot be resolved at an IDC because of the informal nature of the proceedings and must proceed via motion requesting evidentiary and/or issue sanctions.

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With respect to Mr. Johnson's inability to answer questions and instructions not to answer questions, the Court found this appeared to be inconsistent with him being identified as a person with knowledge concerning facts as set forth in the discovery responses. Despite being in-house counsel, his designation as only one of two individuals with knowledge did not prevent him from answering questions at the deposition.

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The Court advised Plaintiff's counsel that the Court's preferred approach to situations in which a witness is instructed not to answer questions on advice of counsel is to seek an order from the Court to compel the answer, rather than admonishing the witness that sanctions may be sought against that person.

(Dahlberg Decl. re Deposition Motion, Ex. 11 [July 1, 2026 Minute Order at pp.1-2].)

MOTION TO COMPEL FURTHER DEPOSITION ANSWERS ANALYSIS:

Plaintiff moves to compel further deposition answers of Defendant's witness Earl Johnson. Plaintiff divides the topics at issue as follows: (1) discovery verification questions; (2) Defendant's moving of Digica's processing activity; and (3) witness interviews. (See Pl.'s Separate Statement.)

A. Discovery Verification Questions (Question Nos. 1-4)

As numbered in the Separate Statement, Question Nos. 1-4 include questions regarding the information Mr. Johnson relied upon in verifying Defendant's RPD responses.

Question No. 1 states:

Q [Plaintiff's Counsel Brianna Dahlberg]. As you sit here today, can you give any information regarding the sources of information that you referred to in order to verify the responses?

[Defense counsel] MR. KUSHNER: Objection.

THE WITNESS: No.

MR. KUSHNER: Ambiguous.

(Johnson Depo. at 28:19-24.)

Question No. 2 states:

Q. In responding to RFP two, did you take any steps to try
to identify which custodians with -- within the company would have possessed
relevant or responsive documents?

MR. KUSHNER: Objection. Ambiguous.

THE WITNESS: I don't recall, but I would assume I did or I
worked with someone else who did.

(Johnson Depo. at 34:18-24.)

Question No. 3 states:

Q. And you can't remember the name of anyone you
worked with?

MR. KUSHNER: Objection. Ambiguous. Asked and answered.

THE WITNESS: I told you there's been a lot of overlap,
and the timing is -- you -- there's been a lot going on in this case. So I
don't recall who or when. So the answer is not going to change.

(Johnson Depo. at 35:1-8.)

Question No. 4 states:

Q. Who are the relevant custodians who -- whose
records were searched for RFP two?

MR. KUSHNER: Objection.

THE WITNESS: I don't know --

MR. KUSHNER: Ambiguous.

THE WITNESS: -- no. I don't have independent recall.

(Johnson Depo. at 35:10-16.)

Plaintiff argues further deposition responses are necessary because Mr. Johnson was designated as Defendant’s PMK but came to the deposition unprepared to answer discovery verification questions, when the parties discussed and stipulated that this would fall within the scope of deposition topics.

In opposition, Defendant argues that the motion should be denied as to these questions because Mr. Johnson was identified as a fact witness and not as a PMQ, such that there was no requirement that a fact witness have knowledge about certain issues in preparation for his deposition (in contrast to C.C.P. § 2025.230 requiring a PMQ to familiarize themselves with noticed topics). Defendant claims that while Mr. Johnson’s statutory and legal obligations are clear, it is also aware that the obligations are counterbalanced by Mr. Johnson being identified as someone who could verify Defendant’s RPD responses and that Plaintiff is entitled to ask questions regarding information and sources of information that Mr. Johnson consulted to reach said conclusion. (Opp. at p.7.) Defendant requests that given the limited scope of the specific issue, Mr. Johnson should not be compelled to sit for a second deposition, but the Court should instead order Plaintiff to propound written discovery as a more cost-effective and efficient method so that Mr. Johnson can retrace his steps to verify responses.

While the Court understands Defendant’s arguments regarding fact witnesses versus PMQs, prior to Mr. Johnson’s June 11, 2026 deposition, the parties were aware of the scope of Mr. Johnson’s deposition as ordered by the Court. As discussed in the Court’s May 14, 2026 IDC Minute Order, the subject matters for Mr. Johnson’s deposition would be limited to those matters for which he was identified as a person with knowledge in Defendant’s discovery responses or verified responses to RFAs. At the July 1, 2026 IDC, the Court noted that Mr. Johnson’s inability to answer questions and instructions not to answer questions, appeared to be inconsistent with him being identified as a person with knowledge concerning facts as set forth in the discovery responses. Thus, Defendant was aware of its obligations to produce Mr. Johnson for deposition for the specific purpose of answering questions regarding discovery verification.

The Court declines Defendant’s alternate proposal that Plaintiff should propound written discovery on this topic. As such, the motion to compel Mr. Johnson’s further deposition answers is granted as to Question Nos. 1-4.

B. Witness Interviews (Question No. 9)

Question No. 9 states:

Q. Interviews with who?

MR. KUSHNER: Same objections. Asking about the details of the internal investigation is privileged. Mr. Johnson, if you could answer that generally without getting into privileged communications and with who, you can, but otherwise don't answer.

THE WITNESS: Just Signature's – Signature employees with knowledge of the case or the – the matters surrounding the allegations in the complaint.

(Johnson Depo. at 139:11-19.) Ms. Dahlberg then asked who conducted the interviews Mr. Johnson was referencing, if anyone else conducted the interviews (not the content), who was interviewed, when the interviews were conducted, whether he took notes or written records memorializing the interviews and signatures thereto, if the facts stated in Special Interrogatory No. 11 were based on the interviews, and how many interviews were conducted. (Id. at pp.139-144.) Defense counsel, Michael Kushner, objected in the same manner.

Plaintiff argues that it seeks the names of witnesses and underlying facts, which is not privileged information, and does not seek the content of confidential communications.

In opposition,

Defendant argues that the motion as to this request should be moot because the Court observed at the July 1, 2026 IDC that Defendant could resolve this dispute by supplementing its discovery responses. (Kushner Decl., ¶11.) On July 11, 2026, Defendant served supplemental verified interrogatory responses identifying six non-lawyer individuals with relevant information as a part of its investigation. (Id., ¶¶13-14, Ex. N [Def.'s Third Suppl. Responses to FROG, Set One], Ex. O [Def.'s Suppl. Objections and Responses to SROG, Set Two].)

Plaintiff argues that the supplemental FROG responses do not remedy the discovery abuse at issue because: (1) Defendant's in-house counsel Brian Turley previously described Sofia Munoz as a lower level sales associate who would not be privy to the events that occurred (Dahlberg Reply Decl., Ex. 14 [1/12/24 Letter]); (2) Meredith Baraja and Joshua Cobian were already deposed but each testified under oath that they lacked personal knowledge of the relevant facts (Dahlberg Decl., Ex. 6 [Barajas Depo. at pp.131-132]; Dahlberg Reply Decl., Ex. 15 [Cobian Depo.]); and (3) Defendant did not provide any contact information for the remaining former employees or attorneys, including Mr. Turley (id.). Thus, Plaintiff argues that a further deposition be allowed so that Plaintiff may seek further deposition answers and ask follow-up questions. The Court will allow the further deposition of Mr. Johnson regarding Question No. 9. The basic facts of who was interviewed are not privileged, nor are questions regarding witness or contact information of those who have knowledge of the case.

The motion to compel Mr. Johnson's further deposition answers is granted as to Question No. 9.

C.
Digica Questions
(Question Nos. 5-8)

Question No. 5 states:

Q. Who decided -- or strike that. Who within Signature made the decision to move all Digica processing activity to a new merchant ID number that used RAC Financial?

MR. KUSHNER: Objection. Ambiguous. Calls for legal conclusion. Calls for speculation. Lacks foundation, and this also pertains to the investigation of Signature and -- and related to the litigation filed against them. To the extent that you know, Mr. Johnson, you can answer, but please be -- please exclude any privileged material from your answer.

THE WITNESS: Just say in general it's a business
decision. Business and sales leaders made the decision at Signature.

(Johnson Depo. at 127:9-22.)

Question No. 6 states:

Q. Who within Signature had authority to move Digica's
processing activity?

MR. KUSHNER: This is getting outside the scope. I'm
going to advise you not to answer, Mr. Johnson. He's held out as someone with
-- someone with knowledge of the fact about defendant moving it, not the
details of who specifically. So, Mr. Johnson, do not answer.

(Johnson Depo. at 132:8-9.)

Question No. 7 states:

Q. Did North have any involvement in the decision to
move all Digica processing activity?

MR. KUSHNER: Same objections. Do not answer.

(Johnson Depo. at 133:3-5.)

Question No. 8 states:

Q. Who within Signature communicated with RAC Financial
regarding Signature's moving of all processing activity for Digica?

MR. KUSHNER: Objection. Ambiguous. Calls for speculation.
Lacks foundation. Also outside the scope of his knowledge related to these
discovery responses. To the extent that you know, Mr. Johnson, and have personal
knowledge, you can answer.

THE WITNESS: I don't know who from Signature
communicated on that -- on that.

(Johnson Depo. at 133:7-16.)

Plaintiff argues that the identity of persons within Defendant who made decisions is not privileged attorney-client confidential communications, as Plaintiff does not seek the content of confidential communications, but only the underlying facts of who possesses knowledge of them. Plaintiff relies, in part, on the same arguments regarding witness interviews/questions above.

Defendant argues that these questions are outside the scope of the agreed-upon topics between the parties, which was submitted to the Court by stipulation.

Ms. Dahlberg's Exhibit 9 includes defense counsel Raymond O. Aghaian's June 4, 2026 letter, whereby Defendant denoted deletions and additions to Plaintiff's proposed topics. Mr. Aghaian allowed certain topics to remain, including Defendant's movement of all Digica processing activity to a new merchant ID number that used RAC Financial as Digica's agent, and Defendant's transitioning of Plaintiff from the Digica account (SROG No. 11); and North's encouragement to Defendant to migrate its merchants from the TSYS processing platform to the EPX processing platform. (See Dahlberg Decl., Ex. 9 [BakerHostetler June 4, 2026 Letter at pp.2, 4].) Thus, these topics are not outside the scope of the agreed deposition topics. Furthermore, as asked, these deposition questions do not seek privileged attorney-client communications but seek the identity of witnesses and underlying factual questions without the need to disclose privileged communications.

The motion to compel Mr. Johnson's further deposition answers is granted as to Question Nos. 5-8.

D. Sanctions

Plaintiff seeks $14,368.68 in monetary sanctions against Defendant. Sanctions were not sought against defense counsel.

Ms. Dahlberg seeks

50% of the fees and costs in connection with the June 11, 2026 deposition, which included 3.5 hours to prepare for Mr. Johnson’s deposition on June 10, 2026, 0.5 hour to prepare for Mr. Johnson’s deposition on June 11, 2026, and 5.5 hours to take Mr. Johnson’s deposition on June 11, 2026, at $795/hour ($7,552.50 total fees, or half at $3,776.25); and seeks $4,707.35 for the expedited transcript + $1,770 for video services ($6,477.35 total costs, or half at $3,238.68). (Dahlberg Decl., ¶¶16, 18-20.) She also seeks 7.25 hours on this motion plus 2 anticipated hours to prepare the reply and attend the hearing at $795/hour ($7,353.75). (Id., ¶¶21-22.) Ms. Dahlberg was admitted to the California Bar in 2011 and states that her rates are consistent with or lower than the hourly rates charged at similarly situated firms with similar levels of experience. (Id., ¶16.) Plaintiff argues the videographer was necessary as Mr. Johnson resides in Michigan and if he is not voluntarily produced as a trial witness, Plaintiff intends to use the video at trial. (Mot. at p.15, fn.4.) Sanctions were not sought against defense counsel.

The Court awards sanctions in the total amount of $7,353.68, which accounts for 10 hours for the time spent for the deposition and this motion at a reasonable rate of $500/hour, plus $2,353.68 for half the cost of the expedited transcript. The Court declines to award costs for video services at this time.

MOTION FOR ISSUE AND EVIDENCE SANCTIONS

ANALYSIS:

Plaintiff moves for issue and evidence sanctions against Defendant for its disobedience of the Court’s January 24, 2025 order with respect to RPD Nos. 1-5 and 16.

The RPDs at issue seek:

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RPD No. 1: “All DOCUMENTS that REFER, or RELATE to DIGICA, including, but not limited to, all applications, change forms, SIGNATURE’S internal notes, SIGNATURE’s internal COMMUNICATIONS, from the time DIGICA was initially boarded through the day of YOUR response to this Request.”

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RPD No. 2: “All COMMUNICATIONS with DIGICA.”

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RPD No. 2(2): “All COMMUNICATIONS that REFER or RELATE to DIGICA, which shall include but not be limited to communications with CMS and communications among SIGNATURE’S internal personnel regarding DIGICA.”

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RPD No. 3: “All DOCUMENTS that REFER or RELATE to CMS.”

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RPD No. 4: “All COMMUNICATIONS that REFER or RELATE to CMS, including internal COMMUNICATIONS.”

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RPD No. 5: “All DOCUMENTS that EVIDENCE, REFER, or RELATE to DIGICA’S processing activity, including monthly gross numbers, processing fees, and referral/residual fees paid out to referring agents/ISO/third parties.”

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RPD No. 16: “All DOCUMENTS that EVIDENCE, REFER, or RELATE to YOUR defenses in this Action.”

(See Pl.’s Separate
Statement.)

Plaintiff seeks an
order to: (1) deem established the facts that the withheld discovery would have otherwise shown and (2) preclude Defendant from offering documents or defenses beyond those it already disclosed in response to RPD No. 16. Plaintiff argues that:

As summarized above,
the Court granted Plaintiff’s motion to compel further responses to the RPD on January 24, 2025, ordering responses by February 24, 2025. In its order, the Court stated that Defendant argued the motion was moot as it will cure all deficiencies by supplementing its responses, but the Court found that Defendant had not demonstrated that it rendered any supplemental responses nor that the responses cured the

deficiencies which form the basis of Plaintiff's motions. (Jan. 24, 2025 Minute Order at p.4.) The Court found that Defendant also provided no further argument in support of its objections to the requests and thus necessarily failed to uphold its burden in justifying the objections, thereby ordering further responses. (Id. at pp.4-5.)

In its August 11, 2025 Third Supplemental Responses to RPD Nos. 1-5, 8-9, and 16, Defendant objected to the RPDs at issue and responded that subject to and notwithstanding the foregoing and previously asserted objections, it would produce all non-privileged documents within its possession, custody, or control and identified the documents produced. (Dahlberg Decl., Ex. 7.) In its August 20, 2025 Fourth Supplemental Responses to RPD No. 5, Defendant against stated that subject to and notwithstanding the previously asserted objections, it would produce all non-privileged documents and identified the documents produced. (Id., Ex. 8.)

On June 16, 2026, defense counsel Michael Kushner emailed Ms. Dahlberg, stating that Plaintiff was misinterpreting the Court's order because the Court ordered further responses by February 24, 2025, which Defendant complied with as Plaintiff did not move nor did the Court explicitly issue a waiver of Defendant's initial objections for any supplemental response. (Id., Ex. 9.) At the July 1, 2026 IDC, the Court advised that Defendant's interpretation and subsequent noncompliance were inconsistent with the Court's ruling and advised Plaintiff's counsel the matter cannot be resolved at an IDC and must proceed via motion requesting evidentiary and/or issue sanctions.

In opposition, Defendant states: "While Signature's initial interpretation of the Order was misguided, the reading was reasonable under the circumstances and not willful." (Opp. at p.1.) It argues that because the Court's order did not expressly waive Defendant's objections for supplemental responses, it understood the order to mean its initial objections were insufficient to justify Defendant's prior discovery conduct but was unclear as to whether Defendant's privilege objections were waived. (Id.) It argues that once it was apprised of its misinterpretation at the July 1, 2026 IDC, the parties met and conferred on July 2, 2026 where Defendant stated its intention to produce responsive documents, but Plaintiff filed this motion. On July 27, 2026, Defendant served its Fifth Supplemental Responses, producing 3,757 pages of responsive, non-privilege documents and a privilege log. (Kushner Decl., Ex. H.) A review of the supplemental responses shows that Defendant again asserted objections, asserted new objections based on the attorney-client and attorney work product privileges (stating it would file an ex parte motion to request to be relieved from potential waivers of those objections), and stated that subject to and without waiving its privilege objections, it refers and cites to previously produced documents, as well as additional non-privilege documents.

In reply, Plaintiff argues that Defendant waited until the opposition due date to serve responses—documents Plaintiff contends Defendant had within its possession but withheld over the past two years of litigation—and Defendant has not produced documents included on its privilege log. Further, Plaintiff argues that Defendant's internal email retention policy retain emails for 90 day unless archived (Opp. at p.9) amounts to spoliation of evidence.
Plaintiff argues it is not asserting that Defendant waived its privilege objections but that it is improperly withholding and redacting documents that were never privileged to begin with.
(Reply at p.10.)

Despite the Court's January 24, 2025 order for further responses, the parties' many informal attempts to resolve this issue, and the IDCs held by this Court, Defendant continues to provide responses with objections. As discussed in its January 24, 2025 order, Defendant had failed to substantiate any of its objections. Though not explicitly stated, such a finding leads to the logical conclusion that the objections were overruled or waived, such that further responses without objections should have been provided. The Court reiterated its position at the July 1, 2026 IDC, wherein it stated that Defendant's position in its further responses was inconsistent with the Court's ruling.

Defendant contends it has now understood the Court's order and provided further responses, but Defendant continues to assert objections and provide responses subject to those objections and previously asserted objections. The time to rely on those previously asserted objections has long since passed. Furthermore, Defendant’s newly asserted objections based on the attorney-client and work product privileges are long past due. Plaintiff served the RPDs on June 3, 2024 and now, nearly two years later, Defendant seeks to assert new objections when the Court already ordered further responses by February 24, 2025.

There has been a pattern of discovery delays by Defendant in its failure to provide non-evasive, objection-free further responses, its withholding of documents, and its failure to timely and fully comply with the Court’s order. Despite the Court’s order and IDCs, Defendant continued to withhold documents and now seeks to assert new objections. However, the Court also recognizes that Defendant has attempted to comply with its discovery obligations by producing additional documents. If Plaintiff finds that the supplemental documents are still lacking (either by failing to produce certain emails over 90-days old or non-privileged documents), then Plaintiff may file a motion to compel further responses to the specific RPDs and/or the disputed documents identified in the privilege log at issue. Plaintiff may contact the Courtroom to have any such hearing specially set without an ex parte and then can give notice as to the date for hearing. In the alternative, Plaintiff may seek to continue this motion, include supplemental briefing concerning documents and other responses recently received to expedite compliance.

The motion for issue and evidence sanctions is denied without prejudice.

A.
Sanctions

“The court may impose a monetary sanction ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the reasonable expenses, including attorney's fees, incurred by anyone as a result of that conduct. The court may also impose this sanction on one unsuccessfully asserting that another has engaged in the misuse of the discovery process, or on any attorney who advised that assertion, or on both. If a monetary sanction is authorized by any provision of this title, the court shall impose that sanction unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.” (C.C.P. § 2023.030(a).)

Under California law, a discovery order cannot go further than is necessary to accomplish the purpose of discovery. (Newland v. Superior Court (1995) 40 Cal. App. 4th 608, 613.) The purpose of discovery sanctions is to prevent abuse of the discovery process and correct the problem presented. (McGinty v. Superior Court (1994) 26 Cal. App. 4th 204, 210.)

Plaintiff seeks $14,111.25 in sanctions against Defendant to reimburse Plaintiff for attorney's fees and costs incurred in connection with this motion (= [15.75 hours on this motion] + [2 anticipated hours for the reply and to attend the hearing] at $795/hour). (Dahlberg Decl., ¶¶24-27.) Sanctions were not sought against defense counsel.

As a lesser sanction to issue or evidentiary sanctions, the Court will award sanctions of 17 hours at $500 an hour for a total of $8,500; however, this shall be stayed provided compliance occurs, no further discovery violations take place during the pendency of the case and all other monetary sanctions imposed are timely paid.

RULING:

In the event the parties submit on this tentative ruling, or a party requests a signed order or the court in its discretion elects to sign a formal order, the following form will be either electronically signed or signed in hard copy and entered into the court's records.

ORDER

Plaintiff Complete Merchant Services Inc.'s Motion to Compel Further Deposition Answers and Motion for Issue and Evidence Sanctions came on regularly for hearing on August 7, 2026, with appearances/submissions as noted in the minute order for said hearing, and the court, being fully advised in the premises, did then and there rule as follows:

THE MOTION TO COMPEL FURTHER DEPOSITION ANSWERS is granted as QUESTION NOS. 1-9. THE PARTIES ARE ORDERED TO MEET AND CONFER TO

DETERMINE A MUTUALLY AGREEABLE DEPOSITION DATE FOR MR. JOHNSON'S FURTHER DEPOSITION TO BE SCHEDULED, PREFERABLY WITHIN 30 DAYS OF THIS ORDER GIVEN THE UPCOMING NOVEMBER 30, 2026 TRIAL DATE.

DEFENDANT IS ORDERED TO PAY MONETARY SANCTIONS IN THE AMOUNT OF $7,353.68 FOR THE DEPOSITION MOTION TO PLAINTIFF, BY AND THROUGH COUNSEL, WITHIN 30 DAYS OF THIS ORDER.

THE MOTION FOR ISSUE AND EVIDENCE SANCTIONS IS DENIED WITHOUT PREJUDICE. DEFENDANT IS ORDERED TO PROVIDE FURTHER RESPONSES WITHOUT OBJECTION TO RPD NOS. 1-5 AND 16 WITHIN 30 DAYS OF THIS ORDER.

DEFENDANT IS ORDERED TO PAY MONETARY SANCTIONS IN THE AMOUNT OF $8,500 FOR THE ISSUE/EVIDENCE SANCTIONS MOTION TO PLAINTIFF, BY AND THROUGH COUNSEL. THESE SANCTIONS ARE STAYED PROVIDED COMPLIANCE OCCURS, NO FURTHER DISCOVERY VIOLATIONS TAKE PLACE DURING THE PENDENCE OF THE CASE AND ALL OTHER IMPOSED MONETARY SANCTIONS ARE TIMELY PAID.

PLAINTIFF TO PROVIDE NOTICE.

IT IS SO ORDERED.